Ref: Directive 154.A.iii (LT&ST)

DIRECTIVE

FINANCIAL SERVICES BOARD

REPUBLIC OF SOUTH AFRICA

FSB

LONG-TERM INSURANCE ACT, 1998 (ACT 52 OF 1998)
SHORT-TERM INSURANCE ACT, 1998 (ACT 53 OF 1998)

Addressee:	Long-term & Short-term insurers		**File:**	10/11/2/6/2 & 10/17/1	
Edition	**Issue date**	**Effective date**	**Directive**	**Status**	**Withdrawal date**
1st	2010/06/30	2010/07/01	154.A.i (LT&ST)	Withdrawn	2010/09/30
2nd	2010/09/30	2010/07/01	154.A.ii (LT&ST)	Withdrawn	2010/12/06
3rd	2010/12/06	2010/07/01	154.A.iii (LT&ST)	In force	-
Subject:	**GUIDANCE ON SECURITIES LENDING TRANSACTIONS**				

1. Purpose of this Directive

1.1 This Directive provides guidance on –

1.1.1 the treatment of securities lending transactions[1] for statutory reporting purposes; and

1.1.2 best practice principles and standards relating to securities lending transactions.

1.2 The guidance reflects the manner in which the Registrars of Long-term and Short-term Insurance will view securities lending transactions in the context of sections 29 to 32 and section 34 of the Long-term Insurance Act No. 52 of 1998, and section 28 to 31 and section 33 of the Short-term Insurance Act No. 53 of 1998.

2. Background

2.1 It appears that securities lending transactions are not dealt with consistently and uniformly in the insurance industry.

[1] Also known as script lending transactions

2.2 This Directive aims to align the treatment of these transactions across the insurance industry, specifically for statutory reporting, and to introduce best practice principles and standards in respect of these transactions in the interests of financial stability and policyholder protection.

3. Clarification of terminology used in this Directive

For purposes of this Directive, -

3.1 "securities" means securities and shares as defined in Item 1 of Schedule 1 to the Long-term Insurance Act and the Short-term Insurance Act; and

3.2 "securities lending transaction" means an agreement between an insurer and a third party in accordance with which –

3.2.1 the legal title in certain securities is transferred from an insurer to a borrower for a defined period ("the loan period");

3.2.2 on or before the expiry of the loan period, the borrower purchases substantially the same securities as those borrowed and returns those securities to the insurer; and

3.2.3 for the duration of the loan period, the insurer continues to bear the market risk and –

3.2.3.1 may or may not remain entitled to the benefits (such as corporate actions, dividends or other income for the lent securities) associated with the lent securities; and

3.2.3.2 may or may not exercise the voting rights attached to those securities.

4. Treatment of securities lending transactions for statutory reporting purposes

For purposes of sections 30 and 31 of the Long-term Insurance Act and sections 29 and 30 of the Short-term Insurance Act an insurer must reflect lent securities as an insurance asset as follows -

4.1 for determining the financial soundness position, as a claim against a borrower; and

4.2 for spreading purposes, the lent securities instead of the claim.

5. Best practice principles and standards for securities lending transactions

General requirements

5.1 An insurer must ensure that –

5.1.1 securities lending activities are undertaken in a safe and prudent manner and in accordance with securities lending policies and procedures that are approved by its board;

5.1.2 where appropriate, professional advice is sought to ensure that controls and procedures relating to such transactions are comprehensive and sound;

5.1.3 where the administration of securities lending transactions is outsourced, -

5.1.3.1 the institution to which it is outsourced has the necessary experience and expertise to perform the required duties in a competent and responsible manner; and

5.1.3.2 administrative and reporting arrangements are clearly set out and agreed to in writing;

5.1.4 a proper assessment of the counterparty credit risk is performed prior to entering into a securities lending transaction; and

5.1.5 collateral security is held in a manner which is legally enforceable.

5.2 An insurer must be fully cognisant of any additional risks stemming from securities lending transactions and ensure that it has the systems and controls in place to identify and control such risks. Controls should include a list of borrowers, approved in accordance with the insurer's approved securities lending policies, with specified lending limits for each borrower, which list should be -

5.2.1 available at all times to the personnel responsible for administering securities lending transactions; and

5.2.2 reviewed regularly by appropriate senior management.

5.3 An insurer must, at least annually, review and have its securities lending policies approved by its board, specifically in respect of –

5.3.1 the general credit worthiness standards used in establishing the list of approved borrowers; and

5.3.2 the overall and individual securities lending limits, taking into account other exposures of the insurer.

5.4 An insurer's internal and external auditors must verify at appropriate intervals -

5.4.1 that the insurer has followed the internal procedures and standards established in determining the quality of a borrower;

5.4.2 that securities accepted as collateral are consistent with the approved securities lending policies of the insurer; and

5.4.3 the existence of securities lent, the title to and the value placed on the collateral.

General limitations

5.5 An insurer may only engage in securities lending in respect of policyholder funds where -

5.5.1 securities involved in the security lending transaction consist of listed securities or term deposits;

5.5.2 adequate collateral is held by the insurer at all times to protect itself against the risks associated with securities lending;

5.5.3 the amount of collateral taken for securities lending is in accordance with the approved securities lending policies of the insurer;

5.5.4 the insurer's senior management ensures that the margin of collateral in excess of the fair value of the securities lent is appropriate at all times, which margin provides adequate protection against volatility and liquidity concerns that may arise for securities lent and for securities held as collateral;

5.5.5 collateral consists of only -

5.5.5.1 cash;

5.5.5.2 securities; or

5.5.5.3 a combination of cash and securities; and

5.5.6 the securities lent are subject to a right of recall.

Contractual requirements

5.6 Any securities lending transaction must be undertaken in terms of a legally binding written agreement with the borrower. When an agent is involved, there should be an agreement between the insurer and the agent, and between the borrower and the agent.

5.7 The agreement(s) must set out the rights and obligations of all the parties to the agreement.

5.8 The agreement(s) must at least:

5.8.1 identify the insurer and the borrower;

5.8.2 describe the securities that will form part of the securities lending transaction;

5.8.3 describe the type of collateral security that will be provided;

5.8.4 specify the agreed upon aggregate value of the collateral;

5.8.5 set out criteria to address situations where –

5.8.5.1 the aggregate value of the collateral exceeds or falls below the value of the securities lent;

5.8.5.2 the aggregate value of the collateral exceeds or falls below the agreed upon value of the collateral in relation to the value of the securities lent;

5.8.6 state the period for which the securities will be lent out;

5.8.7 provide for a notice period for termination of the transaction;

5.8.8 where the insurer will not remain entitled to the benefits (such as corporate actions, dividends or other income for the lent securities) associated with the lent securities, provide for payments or settlements to be made by the borrower to the insurer in lieu of dividends or other income accrued or paid in respect of the securities that are the subject of the securities lending transaction;

5.8.9 specify the fees or charges payable by the borrower to the insurer;

5.8.10 reserve the insurer's right of execution without a court order and provide for the immediate transfer to the insurer of the ownership and other rights, including voting rights, attached to the collateral security, in the event that the borrower defaults or becomes insolvent; and

5.8.11 provide for an undertaking by the borrower to deliver to the insurer securities equivalent to any rights in respect of the lent securities that may become exercisable before redelivery of the lent securities.

6. Application of this Directive

6.1 This Directive provides general guidance on the manner in which the Registrars of Long-term and Short-term Insurance will view securities lending transactions in the context of the Long-term Insurance Act and the Short-term Insurance Act. As the details of securities lending transactions may differ, each transaction must be considered in accordance with this Directive.

6.2 This Directive applies to all securities lending transactions entered into on or after the effective date of this Directive. Despite this, current securities lending transactions entered into before the effective date of this Directive may not be renewed or extended if such transactions do not comply with this Directive.

7. Availability of this Directive

This Directive is available on the website of the Financial Services Board (www.fsb.co.za). Insurers must bring this Directive to the attention of their appointed auditors and statutory actuaries.

REGISTRARS OF LONG-TERM INSURANCE AND SHORT-TERM INSURANCE